



NIKE VELOCITY

Final Presentation – Group 2

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Team Introduction



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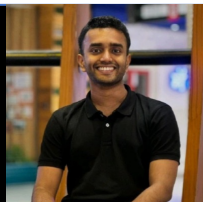
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Agenda



01

Executive Summary

Summarize the entire presentation

02

Situation

The problem, why it matters, and the context behind it

03

Research & Analysis

What competitors and customers reveal

04

Proposal

Our solution to close the gap

05

AI Tech Solutions

How and why AI tech works

06

Benefit

The value AI delivers

07

Implementation Roadmap

From plan to launch

08

Conclusion & Reference

Key takeaway and sources

Executive Summary



Nike AI Operationalized Sub-Brand: Nike Velocity

01 STEP 01

The problem

- **Situation & Context**
 - The **Speed Gap**
Traditional development cycles limit Nike's responsiveness in a **fast-moving, Gen Z-driven market.**

02 STEP 02

Our Finding

- **Competitive Landscape Analysis**
 - Three competitive levers: speed, sub-brand, data signal
- **User & Customer Analysis**
 - Gen Z lives on social, but Nike meets them weeks later.

CORE

03 STEP 03

Our Proposal

1. **Real-Time Demand Sensing**
2. **AI Micro-Batch Production**
3. **Social-Native Commerce**
4. **AI-Assisted Creative Design**

04 STEP 04

Why and how AI works

- **AI Systems**
 - Trend forecasting ·
 - Generative design ·
 - Drop prediction ·
 - Unified data
- **Solution Pipeline**
 - From social signal to production trigger in days
- **AI Systems & Data Integration**
 - System architecture built on a unified data foundation

05 STEP 05

Benefit & Next Step

- **Benefit**
 - Recapture revenue
 - Own Gen Z discovery
 - Brand innovation
- **Implementation Roadmap**
 - 36 months plan
 - From foundation, scale to innovate

Not a fix to Nike — a new AI sub-brand built for Gen Z's speed.

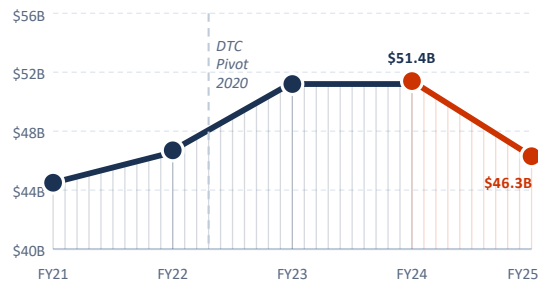
Situation & Context

Nike's lifestyle revenue loss is self-inflicted — three structural gaps no amount of marketing spend can fix



THE REVENUE WOUND

FY2025: \$46.3B revenue — first double-digit decline in a decade



-26% Nike Digital sales Q4 FY25

~40 Wholesale partners left (was 1,000s)

\$24B market cap erased in a single day · CEO replaced Oct 2024 · \$2B cost-cut plan announced (Nike 8-K FY2025)

THE SPEED WOUND

Nike's 18-month cycle misses every Gen Z trend window



Gen Z window: 2-4 wks

18x longer than Gen Z's trend window. Product that misses the moment becomes discounted inventory.

40d Shein inventory turnover (Nike: 80+ days)

-\$ Forced discounting to clear stale lifestyle stock

3mo Nike's own target — still 6x slower than Shein

Elliott Hill (CEO, Dec 2024): 'We need to move significantly faster on product' · Nike FY26 target: sub-season drops

THE CONSUMER WOUND

Nike has 160M members — but no product where they spend regularly

Brand love is not the problem. Infrastructure is.

WHERE GEN Z'S \$2,388 ANNUAL APPAREL SPEND GOES



Nike absent — ~\$1,620 of annual spend goes elsewhere

#1 Nike brand for Gen Z — 12 consecutive years (Morning Consult)

60% Higher repeat purchase by Nike members — but in performance only

72% Gen Z college students bought fast fashion last year (ThredUp)

Gen Z total spending power: \$360B (BCG 2025) · Avg. teen apparel spend: \$2,388/yr +6% YoY (Piper Sandler 2024)

Nike's problem is not brand — it is infrastructure: no vehicle that moves at Gen Z's speed, serves the price tier they shop at, or captures the \$1,620 in annual lifestyle spend currently leaving its own member ecosystem.

Competitive Landscape

Competitors Have Speed or Brand. Velocity Is Built to Have Both.



SPEED Design-to-shelf cycle (shorter = faster)



MARKET SIZE GMV / Revenue (USD B) — Nike is losing this market



VELOCITY'S DATA MOAT What Velocity reads vs. what every competitor reads

Shein, Temu, Puma Public social media data only TikTok Instagram Pinterest	VS	Nike Velocity Public data + 160M member signals Purchase history App behaviour
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SHEIN Fastest signal-to-product

What they do: AI scans 6,000+ daily trend signals from social media. Fully automated demand-to-production pipeline.

Gap: Zero brand equity. Growing Gen Z backlash on ethics and quality. Reads only public data with no proprietary consumer intelligence.

Edge: Comparable speed. Nike-filtered signal. Premium positioning they can never achieve.

TEMU Largest fast fashion GMV

What they do: \$70.8B GMV in 2024, 244x growth since 2022. Gamified UX and AI personalization at ultra-low price points.

Gap: Pure price play, zero brand credibility. Cannot serve consumers who want quality.

Edge: Same market appetite, premium quality, Nike's brand trust they can never buy.

PUMA + RALPH LAUREN Sub-brand proof

What they do: Premium brands can run sub-brands without diluting core equity. Puma (Fenty) 2.9x revenue growth. Ralph Lauren 7.1x growth.

Why this matters: Answers the class question "Won't this hurt the Nike brand?", these two prove it does not.

Velocity's case: The model is proven. Nike just hasn't built its version yet.

Shein and Temu have speed. Puma and Ralph Lauren have the sub-brand model. Only Velocity has both, backed by Nike's 160M member signal.

Market Research & Analysis

Gen Z Loves Nike. But Shein Owns the Transaction.



USER & CUSTOMER ANALYSIS Who Nike is losing, why they are leaving, and what Velocity does about it.

WHO The target consumer

\$360B

Gen Z total spending power (BCG 2025)

Age 15–28

Platform-native: TikTok, Instagram, Pinterest.
Discovers, decides, and buys within hours.
Trend cycle is weekly.

Fashion is their #1 discretionary spend

48% make fashion purchases via social media.
Buys what feels culturally current, not what's in season.

160M+ Nike members

Nike already has access to this consumer. The problem is not awareness — it is response speed.

64% use Buy Now Pay Later

High purchase intent despite budget pressure.
Will spend on the right product at the right moment.

THE GAP Nike vs. what Gen Z actually wants

	Nike Today	Gen Z Wants
Speed	18 months	Days–2 wks
Price	\$120–\$200	\$20–\$60
Channel	Nike.com	TikTok Shop
Design	Seasonal	Weekly drops
Discovery	Catalog	AI-curated feed
97% Gen Z use social as primary shopping inspiration		
Nike Digital –20% while TikTok Shop grew +407%		
58% of US shoppers bought after seeing a product on social		

THE PARADOX Brand love ≠ purchase

#1

Nike ranked #1 fashion brand by Gen Z for 12 consecutive years (Morning Consult)

50%

Shein's share of US fast fashion. Top purchase intent brand among Gen Z women (Piper Sandler)

1 in 3

Gen Z describe themselves as addicted to fast fashion — despite naming Nike #1 (ThredUp 2022)

72%

of Gen Z college students purchased fast fashion in the prior year (FashionUnited 2024)

Nike doesn't have a demand problem — it has a speed and channel problem.

Proposal

Nike Velocity: A fast-fashion AI sub-brand that combines Nike's brand equity with Shein's operational speed



THE PROPOSAL · WHAT WE ARE BUILDING

\$31B

Brand Equity

Nike's premium positioning

160M+

Active Members

Nike data moat

96%

Brand Awareness

Global recognition

\$20B

Lifestyle Loss

Currently to fast-fashion

01 Real-Time Demand Sensing

AI scans TikTok, Instagram, and Pinterest in real time, layered with 160M Nike member signals to produce a weekly ranked list of drop candidates.

CLOSES THE GAP

Replaces 18-month gut-feel forecasting with continuous trend detection.

02 AI Micro-Batch Production

Nearshore manufacturing in Mexico and Portugal via o9 Solutions or Kinaxis. Production fires automatically when demand confidence clears the threshold.

CLOSES THE GAP

Compresses design-to-shelf from 12–18 months to 30 days.

03 Social-Native Commerce

Drops launch directly into TikTok Shop and Instagram, zero friction from trend discovery to purchase. Velocity meets Gen Z where they already shop.

CLOSES THE GAP

Closes the channel mismatch killing Nike's lifestyle revenue.

04 AI-Assisted Creative Design

Generative AI produces on-brand design variations grounded in Nike's archive, silhouettes, colourways, materials. Designers steer the AI rather than starting from a blank page.

CLOSES THE GAP

Compresses the creative cycle from 6-8 months to 5-7 days, with Nike's design DNA preserved.

Velocity is not a new app or feature, it is a fast-fashion AI sub-brand that gives Nike's brand and member assets the operational speed they currently lack.

AI Tech Solutions

AI Solution: Real-Time Demand Sensing turns Nike's 160M member data into a forecast no fast-fashion rival can replicate



• PRODUCTION-READY • THE WHAT

THE COMPETITIVE MOAT

Shein reads *public* trend data. Velocity reads public trend data filtered through Nike's own 160M members. That is the difference between fast and **Nike-specific fast**. The signal cannot be replicated by any competitor without owning Nike's data asset.

What we recommend

License WGSN Instock or Trendalytics and connect to the Nike data lake. Layer social trend velocity from TikTok, Instagram, and Pinterest with 160M member purchase signals to produce a weekly ranked list of Velocity drop candidates, each with a confidence score.

How decisions get made automatically

High confidence score → full production order. Low confidence score → small test batch. The system decides, not a planner. This eliminates the guesswork driving Nike's current overproduction and markdown cycles.

EXPECTED IMPACT

20-30%

reduction in unsold inventory

Based on comparable AI-driven demand-sensing deployments at Zara and ASOS, applied to Nike member-filtered signal.

WHY IT WORKS FOR NIKE

- 160M Nike members provide a proprietary purchase signal no rival can access
- Nike licenses proven infrastructure rather than building from scratch, 12-month implementation, not 36
- Forecast accuracy compounds over time as the model learns from each Velocity drop's sell-through

Nike already has 160M members. Velocity gives that data a job: predicting exactly what to make before production begins.

AI Solution Pipeline: From social signal to production trigger in seven days, with proven technology already running at scale



• PRODUCTION-READY • THE HOW



RECOMMENDED PLATFORMS

WGSN

Instock module
Detects emerging fashion trends 2–4 weeks before they peak

trendalytics

Trend ranking platform
Translates trend signals into ranked drop candidates with confidence scores

ALREADY PROVEN AT SCALE BY

ZARA

Inditex Group
21-day cycle, AI signal-driven

ASOS

ASOS plc
Real-time demand orchestration

STITCH FIX

Stitch Fix Inc.
Algorithmic merchandising at scale

The pipeline is not theoretical and every component runs in production today at Zara, ASOS, and Stitch Fix. Velocity's contribution is the 160M-member overlay no competitor can match.

AI Systems Intelligence



Four AI systems powering Velocity's intelligence layer

Social Trend Forecasting

NLP (Language) + Computer Vision (Image Recognition)

Scans TikTok, Instagram & Pinterest to detect trends 2–4 weeks before they peak

● Available Now

*Commercially deployed across fashion and retail
Multiple vendors offer this as a plug-in service today*

Generative AI Design Studio

Diffusion Models / GANs (Image Generation AI)

Auto-generates colorways & designs from trend signals — hours, not weeks

● In Development

Actively piloted by early adopters like Adidas and Adobe, but not yet standardized at enterprise fashion scale

Drop Performance Prediction

ML Classifier / Predictive Analytics (AI Models)

Predicts sell-through rate & hype score before committing to production — Produce or Reject

● Available Now

Proven by Stitch Fix & ASOS — predictive scoring is standard retail technology today

Unified Data Platform

Data Lake gathers all

Aggregates all Nike apps & in-store data into one platform — powers all AI tools

● Available Now

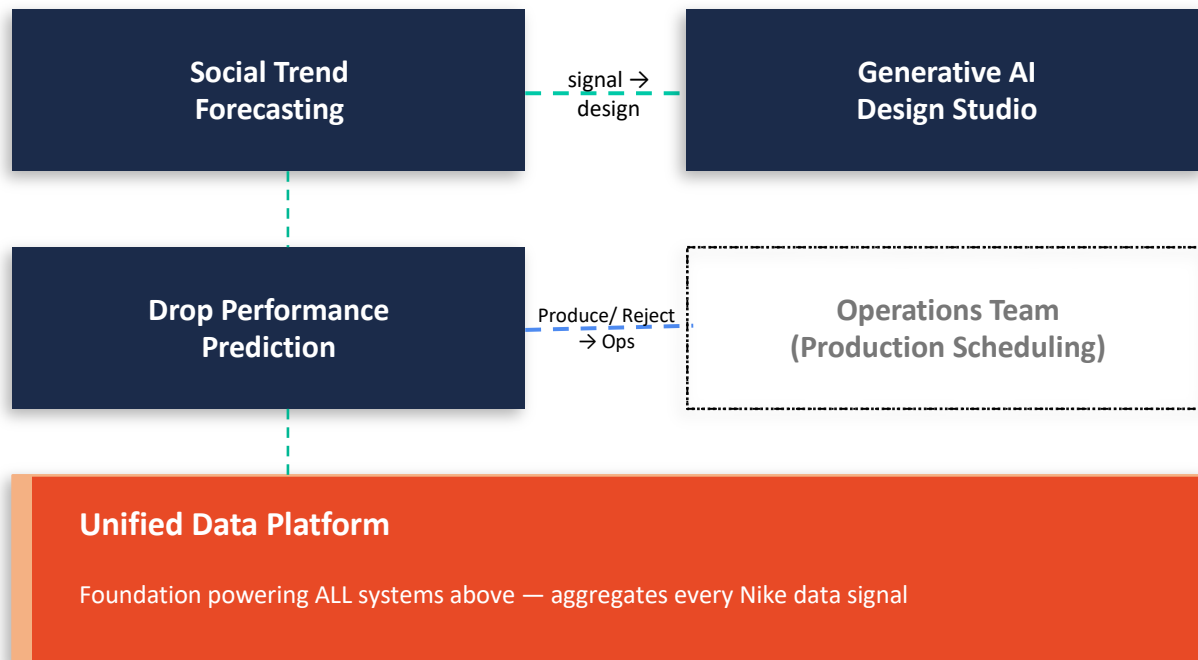
Industry standard infrastructure — fine-tuned and synced in real time for Velocity's weekly drop cycle

Trend Forecasting spots the trend. Generative AI creates the product. Drop Prediction times the launch. Unified Data connects it all.

System Integration & Data



How the four AI systems connect



DATA POWER AI

● Internal Data

- Existing Nike membership data
- App browsing & engagement
- Past drop performance
- In-store behavior
- Inventory & production records

● External Data

- TikTok, Instagram, Social Media
- StockX & Depop resale platforms
- Professional trend forecasting
- Search engine trend data
- Competitor pricing data

Four systems, one language — the intelligence layer is what makes fast fashion actually intelligent in Nike Velocity.

Benefit

Nike Velocity Benefits & ROI



Recapture Revenue

GAP- Losing \$20B to fast fashion

AI + Micro-batch = 30 day cycle

→20-30% less unsold inventory & capture sector



AI System

GAP- Underutilized audience

Data and AI will learn and evolve from every drop

→Compound data & number advantage into revenue



Own Gen Z Discovery

GAP- Gen z shops on social, not on Nike.com

Launch, market, and communicate drops through TikTok & Instagram

→Enter \$50B+ market strong brand



Protect Brand Integrity

GAP- Focusing on fast fashion risks diluting brand dilution

Operate as separate sub-brand

→Protect premium brand positioning and advantage



Major Hurdles

HIGH

Data Privacy & AI Bias

GDPR/CCPA risk → license Brandwatch/Heuritech; consent-based Nike data only.

HIGH

Brand Dilution

Separate Velocity identity, app, and visual language from Nike mainline.

MEDIUM

Supply Chain Management Readiness

1-2 Month phased rollout invest in shared system Before scaling

Former analyses converge on a single diagnosis: Nike is losing on speed, not quality.

Implementation Roadmap

Nike Velocity — Implementation Roadmap



Foundation

Months 1–6

- License WGSN Instock & Trendalytics for social trend monitoring
- Activate Unified Customer Data Platform on Nike's existing 160M member database
- Onboard 1–2 nearshore manufacturing partners (Mexico or Portugal)
- Deploy Drop Performance Prediction model on historical Nike data
- Finalize legal compliance framework: GDPR/CCPA + brand architecture guardrails

Scale

Months 7–18

- Launch AI-Managed Drop Allocation (replaces SNKRS lottery; filters bots, rewards real fans)
- Deploy AI Community Commerce on Velocity app — UGC surfaces at point of purchase
- Integrate systems for real-time production scheduling (o9 / Kinaxis)
- Expand nearshore manufacturing network to 4–6 partners
- Launch social-native commerce on TikTok Shop & Instagram natively

Build

Months 18–36

- Pilot Generative AI Design Studio (diffusion models on Nike archive)
- Full drop cycle live: signal → design → produce → drop → re-train — in 30 days
- Explore international expansion: Southeast Asia, Latin America with geo-diverse models
- Build brand equity metrics dashboard: Velocity vs. Nike mainline tracking
- Evaluate acquisition of trend data partners (WGSN, Heuritech) for vertical integration

\$50B+

Gen Z Athleisure
Market Opportunity

20–30%

Inventory Reduction
Target

30 Days

Design-to-Shelf
Goal vs. 18 Months

160M

Member Signals
Activated at Launch

The Problem of the fast fashion industry and Nike is speed- with its brand trust and background, combined with Velocity will help Nike solve that problem

Conclusion

Conclusion



NIKE VELOCITY PROJECT

Key Takeaways

Nike has what it takes to lead the fast-fashion market

Nike needs to own what only Nike can own

Velocity is how Nike does it.

WHAT TO REMEMBER

01

The Speed Gap is real

Nike's 18-month cycle vs. Shein's 14 days — Gen Z lives where Nike isn't yet.

02

Not only an internal fix

Velocity is a new AI sub-brand that protects Nike's premium core while capturing fast-fashion spend.

03

AI is the engine, not the gimmick

AI systems on a unified data layer turn social signals into products in days, not months.

04

Nike's data moat is the unfair advantage

160M member signals — something no fast-fashion rival can ever replicate.

Q & A

Appendix

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Prior Works

- Project Scoping Document
- Competitive Landscape Analysis
- User & Customer Analysis
- Technology Assessment